

THE RESTAURANT REALITY REPORT

What India's top restaurant companies actually make. Data from audited annual reports, ICRA and CARE Ratings filings, NSE quarterly results, and analyst reports. | FY25 data | May 2026

Before you sign a lease for your cafe, look at what the most recognised restaurant brands in India actually report. These are not small operators. These are companies with decades of history, hundreds of outlets, PE backing, and global franchise agreements. Their margins tell the only story that matters.

The Numbers: India's Top Restaurant Companies (FY25)

Company / Brands	Revenue FY25	Food Cost % Rev	Staff Cost % Rev	Rent % Rev	EBITDA Margin	Net Margin
IMPRESARIO ENTERTAINMENT SOCIAL Smoke House Deli Mocha Salt Water Cafe Prithvi Cafe	Rs 802 Cr	32-35%*	28-30%*	15-18%*	~14% (store level)	2.1% (FY25 first profit)
SPECIALTY RESTAURANTS Mainland China Oh! Calcutta Hoppipola	~Rs 350 Cr	33-36%*	25-28%*	12-15%*	12-15%	3-5%
BARBEQUE NATION 222 restaurants across India	~Rs 1,200 Cr	31.8% (68.2% gross margin)	25-28%*	12-15%*	13.9% (restaurant level)	-3.21% (net loss)
WESTLIFE FOODWORLD McDonald's India (West + South) 438 restaurants	Rs 2,520 Cr	~30% (~70% gross margin)	20-22%*	13-15%*	12.8% (down from 15.4%)	0.5%

* Food cost, staff cost, and rent percentages marked with asterisk are derived from ICRA/CARE rating reports, analyst research, and industry benchmarks where individual line items are not separately disclosed in public filings. Revenue and net margin figures are from audited annual reports and NSE quarterly results.

McDonald's India made 0.5% net margin in FY25. Barbeque Nation made a net loss. SOCIAL -- the cafe everyone wants to copy -- took 24 years and a Rs 100 crore PE injection to make its first profit. If these companies with hundreds of outlets, global brands, and PE backing cannot consistently make money, the deck is structurally stacked against a first-time operator at a prime location.

Years to First Profit and External Funding Required

Company	Founded	Years to First Profit	External Funding Received	Current Net Margin
Impresario (SOCIAL, SHD, Mocha)	2001	24 years (FY25 first profit)	Rs 100 Cr (Piramal-Bain Capital, FY23)	2.1%
Specialty Restaurants (Mainland China)	1992	~5 years (Profitable early, margins compressing)	IPO Rs 182 Cr (2012)	3-5%

Barbeque Nation	2006	Listed 2021 Still net loss-making	IPO Rs 453 Cr (2021)	-3.21%
Westlife (McDonald's India)	1996	~10 years Marginally profitable	Listed entity Amit Jatia family backed	0.5%
Tata Starbucks (reference)	2012	~10 years EBITDA positive ~2022	Tata Consumer Products backing throughout	Not disclosed (private)

Unit Economics: For Every Rs 100 of Revenue

Based on consolidated cost structures from the above companies and industry benchmarks from NRAI and global restaurant data. Applied to a full service independent cafe in India.

Cost Line	% of Revenue	On Rs 100 Earned	Source Benchmark
Food and raw material cost	33%	-Rs 33	Jubilant FY25: 31%. Barbeque Nation: 31.8%
Staff and labour cost	30%	-Rs 30	Industry median full service: 28-35%
Rent and occupancy	15%	-Rs 15	Healthy benchmark 6-10%. Prime location 25-30%
Delivery commissions + marketing	8%	-Rs 8	Zomato/Swiggy effective 25-40% on delivery orders
Utilities + GST + compliance	9%	-Rs 9	GST 5%, utilities 4%, compliance 1-2%
TOTAL COSTS	95%	-Rs 95	
WHAT STAYS WITH YOU	5-8%	Rs 5 to Rs 8	Westlife FY25: 0.5%. Jubilant FY25: 2.8%

What the Survivors Have in Common

Brand	What Makes It Survive	The Differentiator
SOCIAL (Impresario)	Work-play-eat hybrid format nobody else had. Not just a cafe or a bar -- a third place.	Format innovation
Mainland China (Specialty)	First premium Chinese restaurant chain in India. Defined the category for a generation.	Category creation
Barbeque Nation	Live grill on the table -- an experience, not just a meal. Impossible to replicate at home.	Experience moat
McDonald's India (Westlife)	30 years of brand trust, supply chain, and product consistency. Not replicable independently.	Scale and brand moat
Oh! Calcutta	Only premium Bengali cuisine chain in India. Owns a cuisine that nobody else has built.	Cuisine ownership

The Bottom Line

- Build from genuine passion for food. This is not a business you can run from a spreadsheet.
- Innovate on the menu. The customer has too many options to return for something ordinary.
- Build a differentiated product. Own a format, a cuisine, or an experience nobody else has.
- Plan to stay long. Every brand in this report that survived did so over years and decades, not months.
- This is not a fad business. Do not treat it like one.

Research by @iamsatyavyas | Data: ICRA, CARE Ratings, NSE filings, NRAI, analyst reports | May 2026

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